

Credible takeaways

- Apply for federal student loans first because they offer more benefits and repayment options than private loans and are easier to get.
- Private student loans can fill funding gaps but should only be considered after maximizing federal aid.
- While the criteria may vary from one private student loan lender to another, most applicants must meet certain enrollment, income, and credit score requirements.

Student loans are a key part of college financing for many students, especially when scholarships, grants, and personal savings fall short. In fact, about 30% of adults who pursued higher education needed to borrow for school, according to the Federal Reserve. If you’re weighing your options, understanding the types of loans available and how the student loan application process works is essential to covering your education costs responsibly.

This guide walks you through how to get both federal aid and private student loans — from filling out the FAFSA to comparing lenders and preparing for student loan approval. Whether you’re just starting to explore your options or ready to apply, we’ll help you make informed decisions about paying for college.

Best student loans for college

Federal loans are the first place to start because they have better benefits, like flexible repayment options and fixed interest rates. After you've exhausted federal aid but still have educational expenses to cover, private student loans are another option. Both have similar eligibility requirements, but they also have plenty of important differences you should know.

These are the eligibility requirement for federal and private student loans:

	Federal student loans	Private student loans
Lender	U.S. Department of Education	Banks, credit unions, and online len
Interest rates	6.53%–9.08%, depending on loan type	3.39%–17.99%; fixed or variable

	Federal student loans	Private student loans
Borrowing limits	Up to \$57,500 for undergraduates; \$128,500 for graduates	\$1,000 up to 100% cost of attendance (varies by lender)
Eligibility requirements	Financial need based on FAFSA app	Minimum income and credit score (if cosigner who does)
Repayment terms	10-25 years	5-20 years
Repayment plans	Standard, graduated and income-driven repayment plans; potential for loan forgiveness	Standard repayment based on loan amount and repayment term; no potential for loan forgiveness

How to qualify for federal loans

Federal loans are considered the most borrower-friendly. To apply, you must submit the Free Application for Federal Student Aid ([FAFSA](#)). Schools use the FAFSA to determine your eligibility for various financial aid, including federal student loans, scholarships, grants, and [work-study](#) opportunities.

Undergraduate loans don't require a credit check and have fixed interest rates, but include borrowing limits on certain loan types. Federal loans have different repayment options and [benefits](#), including income-driven repayment plans and loan forgiveness. Because of this, you want to exhaust federal loans before turning to private lenders.

Federal student loan eligibility

Federal loans offer significant advantages over private loans, including potential [loan forgiveness](#) and protections like [deferment](#) and [forbearance](#), which allow you to pause loan payments during financial hardship. Eligibility depends on your [Student Aid Index \(SAI\)](#), your year in school, your enrollment status, and the cost of attendance at the school you want to attend.

To be eligible for federal student loans means you must:

- Be a U.S. citizen or eligible noncitizen
- Have a valid Social Security number
- Be enrolled in a degree or certificate program at an eligible school
- Maintain satisfactory academic progress
- Have a high school diploma, GED, or equivalent
- Transfer your federal tax information to your FAFSA application
- Not have federal student loans in default or owe a federal grant refund



Good to know

There is no income cut-off to qualify for federal student aid. However, factors like the size of your family and academic year are considered when calculating how much aid you qualify for.

Federal student loan requirements

The government limits how much you can borrow in student loans each year and over your lifetime, depending on your academic level and dependency status. [Dependent students](#) must have a contributor, like a parent, provide their information, including a [consent to transfer](#) tax data directly from the IRS to the FAFSA application. Contributors must also sign up for an FSA ID to complete their sections and sign the FAFSA form.

Here's what do you need to complete in order to qualify for a federal student loan:

1. Create a FSA ID: You must create a Federal Student Aid (FSA) ID — a unique username and password required to complete the FAFSA and access your account on StudentAid.gov.
2. Fill out the FAFSA: The [FAFSA application](#) opens around Oct. 1 every year. It's available online and typically takes less than an hour to complete. You'll need your Social Security number, date of birth, email, and details about your income and assets (or your parent's, if applicable).
3. Sign and submit the FAFSA: After you (or your parents, if applicable) have completed the FAFSA, sign and submit it.



Important

The 2025-26 FAFSA is open through June 30, 2026, but state and school deadlines could be sooner. Some aid is on a first-come basis, so submit your FAFSA as soon as possible but check your school's financial aid office for specific deadlines.

FAFSA income limits

After submitting the FAFSA, schools where you were accepted will send you a [financial aid award letter](#) outlining the types of aid you qualify for. This can include scholarships, grants, federal work-study, and federal student loans:

Federal need-based financial aid

The school you're attending determines your financial need by using this formula: cost of attendance (COA) - SAI = financial need. Need-based financial aid programs include:

- [Federal Pell Grant](#): These grants don't have to be repaid, except under certain circumstances. Your eligibility is determined mostly by financial need and a few other factors, including citizenship status, academic enrollment, and academic progress, to name a few.
- [Direct Subsidized Loans](#): Formerly called Stafford Loans, the government pays the interest on these loans while you're in school and during the 6-month grace period following graduation, reducing your overall borrowing costs. The school determines how much you can borrow, and the amount can't exceed your financial need.
- Federal Supplemental Educational Opportunity Grant (FSEOG): This [need-based grant](#) that offers for between \$100 and \$4,000 per year by participating schools for undergraduate students with exceptional financial need.
- [Federal Work-Study](#): This provides part-time jobs for undergraduate and graduate students with financial need, allowing them to earn money to help pay education expenses. The program encourages community service work and work related to your course of study.

These types of federal loans aren't based on your financial need:

- [Direct Unsubsidized Loans](#): Available to both undergraduate and graduate students and don't require proof of financial need, making them more accessible. The amount you can borrow is determined by your school's cost of attendance, less any

other financial aid you receive. You're also responsible for paying the accrued interest.

- [Direct PLUS Loans](#): Graduate students and parents of dependent undergraduate students can apply for PLUS loans, also called [parent PLUS loans](#) or [grad PLUS loans](#). To qualify, you usually have to have good to excellent credit.

Direct Subsidized and Unsubsidized Loans have [borrowing limits](#) for how much money you can receive, which depend on your academic year in school and dependency status. PLUS loans help cover your school's full cost of attendance after any other financial aid you may receive.

If your application is denied, it could be because you don't meet the eligibility criteria or need to provide additional documentation. Graduate students and parents applying for PLUS loans may face another potential obstacle.

“For federal loans, this would come from an adverse credit history. You could obtain an endorser, who agrees to pay your loans if you do not. You can also file an appeal if there are extenuating circumstances,” says Erik Kroll, certified financial planner and president of Student Loans Over 50.



Tip

Making small payments while you're in school or during deferment or forbearance can help with accrued interest and reduce the overall cost of your loan.

After reviewing your financial aid offers and choosing a school, you can officially accept your federal aid. Start with any [grants](#) and [scholarships](#) because they don't have to be repaid. If you've qualified for a Direct Subsidized Loan, prioritize it next since it's usually a more cost-effective option. Remember only to borrow what you need to cover your educational expenses.

If you're a first-time borrower, you'll also have to complete [entrance counseling](#) to understand your responsibilities and to sign a Master Promissory Note agreeing to the loan terms.

Federal loan funds are sent to your school first to cover tuition, fees, and, if applicable, room and board. If money is left over, the school sends you the remaining balance, which can only be used for [qualified educational expenses](#), like textbooks, supplies, or electronics.

Check Out: [What Is the Average Cost of College?](#)

How to qualify for private student loans

Private student loans are primarily offered by banks, credit unions, and online lenders. They usually require a credit check to evaluate your creditworthiness. Most private lenders will let you apply with a cosigner if you don't meet their specific criteria. Private student loans offer both [fixed and variable interest rates](#) but have fewer repayment options and borrower protections than federal loans.

Eligibility for private student loans

The eligibility criteria for private student loans are similar to those for federal loans but go a step further with checking credit scores and income. Every lender has different qualifications but, in general, you must:

- Be a U.S. citizen or permanent resident
- Have a Social Security number
- Be at least 18 years old with a high school diploma or equivalent
- Have a good credit score
- Meet the lender's minimum income requirements
- Be enrolled at least half-time in an eligible program

Editor insight: “If you're an undergraduate student applying for private student loans, you'll probably need a cosigner, especially if you have little or no credit history or aren't earning an income. I recommend preparing a detailed repayment plan before asking someone to cosign, as they'll be responsible for the debt if you fail to pay it.”

— *Renee Fleck, Student Loans Editor, Credible*

Private student loan requirements

If you've maxed out your federal student loan options, [private student loans](#) can help cover any remaining balances. Lenders may let you borrow up to the full cost of attendance, but eligibility depends on several factors like credit history and income (or that of a co-signer).

These loans should generally be a last resort because they lack the protections and benefits federal loans offer, including forgiveness programs and specific repayment plans.

Here's everything private student loan lenders consider:

Credit score and history

Private lenders check your credit score and income to determine your eligibility and the interest rate you're offered. Most lenders require a minimum credit score — often around 670 — and can reject applications from those who don't meet their criteria. You'll likely need a cosigner to qualify if you have [limited or bad credit](#). The interest rate will likely be lower than if you apply alone.



Note

Review your credit report and check for errors that can bring down your score. If you notice any, contact the major credit bureaus (Experian, Equifax, and TransUnion) to dispute them.

Income

Beyond credit requirements, most lenders also expect applicants to meet a minimum income threshold. Some let you know ahead of time what that amount is, but most don't. Higher earnings can improve your chances. To verify your income and employment, lenders usually request documentation from both you and your cosigner.

Debt-to-income ratio

Lenders use your debt-to-income ratio (DTI) to evaluate how much of your monthly income goes toward debt. A lower DTI suggests you can handle new loan payments more easily.

School and program

Some lenders only approve loans when you attend certain accredited schools or are enrolled in specific degree programs. Your enrollment status (half- or full-time) may also be a determining factor since most (not all) lenders require borrowers to be in school full time.

Loan amount and terms

Private student loan lenders will assess how much you need to borrow and the repayment term you choose. Larger amounts or longer terms may mean stricter qualifications. Each lender has minimum and maximum loan amounts to make sure they can meet your borrowing needs. Most lenders offer 5-, 7-, 10-, 15-, and some even 20-year repayment term options.

After submitting your application, the lender reviews your information and can either approve or deny your application, or ask that you provide additional documentation, which you should respond to as soon as possible to avoid delays. When your application is denied, the lender should explain the reason they rejected it.

If approved, the lender will typically send funds directly to your school to cover your tuition, fees, and room and board that's not already covered by federal aid you might have received. Any remaining funds will be disbursed to you to cover other education-related expenses, such as textbooks or supplies.

Tips for choosing the best student loan

Federal student loans are almost always the best place to start because of their competitive, stable rates, flexible repayment options, and borrower protections. Private loans can help cover remaining costs, but should be used cautiously.

When you're comparing loans, calculate the total borrowing costs. Tools like the Federal Student Aid's [loan simulator](#) or a [student loan repayment calculator](#) can help you better understand how interest rates, loan terms, and repayment plans will affect your overall payments.

“Misinformation has been rampant as the federal student loan litigation makes its way through the courts, so it's important that borrowers reach out directly to their loan servicers with questions about student loan relief, or to certified credit counselors with expertise in student loans working for nonprofit credit counseling organizations,” advises Donna Loitz, housing and student loan counselor lead at American Financial Solutions.

Prequalify with multiple private loan lenders to see interest rates and loan terms you might qualify before officially applying. Most lenders offer this option without [affecting your credit score](#) since it involves a soft credit check instead of a hard inquiry. A hard inquiry usually only happens when you submit a full loan application.

FAQ

How do I apply for student loans step-by-step?

Close

To apply for student loans, start by completing the FAFSA to access federal aid. Review your financial aid letter from your school, and then accept any grants or federal student loans offered to you — but remember that you don't have to accept the entire loan amount if you don't need it. If additional funding is required, consider comparing private student loan options, getting prequalified, and submitting a student loan application to your preferred lender.

What is the best way to borrow for school?

Close

The best strategy is to start with federal student loans, which have no credit score requirements and offer low fixed rates and flexible repayment options. Consider private student loans after you have maximized your federal aid. Only borrow as much as you truly need, and understand the loan terms before accepting.

What happens after my student loan application is approved?

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Once your student loan application is approved, federal or private loan funds are sent directly to your school to cover tuition and fees. Any leftover money is disbursed to you for other college financing needs, like textbooks or housing.

Is it hard to get approved for student loans?

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It depends on which type you apply for. All student loans have certain eligibility requirements. Private lenders will check your credit score and income, which can make approval more difficult without a cosigner, while federal student loans don't. Federal student loans still have eligibility requirements but are generally easier to qualify for than private loans.

Do I qualify for FAFSA if my parents make a lot of money?

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Yes, you can still qualify for FAFSA financial aid if your parents have a high income. The FAFSA is based on need, and there is no maximum income amount that prevents you from qualifying. Other factors, including the size of your family, determine the amount of financial aid you can qualify for.

How often do you need to apply for a federal student loan?

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You must submit the FAFSA form annually to access federal student loans. FAFSA applications are usually available starting Oct. 1 for the next academic year.

For student loans that require a cosigner, who is that person?

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A cosigner can be someone you know with good credit and stable financial history, like a parent, grandparent, or other family member, who assumes responsibility for loan repayment if you don't pay. Private student loans don't always require a cosigner. However,

if you have a limited credit history or bad credit, they can help you get a student loan at a better rate than you can on your own.

When do you need to apply for a federal student loan?

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Check with your school for their deadlines, but you should fill out and submit the FAFSA as soon as possible, preferably once the application is available around Oct. 1 for the following academic year.

How long does it take to get approved for a student loan?

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Federal loans generally have a quicker approval process than private loan lenders. When you apply online for a federal loan, processing your FAFSA can take up to three days. Paper applications can take up to 10 days. However, the timeline to receive your financial aid award letters from different schools may vary. Private loan processing times vary by lender and whether you apply with a cosigner.